

Case Study: Glass Reorder Cost Reduction

Challenge

Discovered excessive glass waste exceeding **\$1.2M annually** due to uncontrolled reorders. Root causes included lack of accountability between shifts, duplicate orders being placed, and high breakage rates caused by poor handling and skid conditions.

Action

- Conducted **Root Cause Analysis** using Fishbone Diagram and 5 Whys.
- Audited supplier deliveries and confirmed no shortages – problem was internal.
- Centralized ordering with an IT-enabled app, granting access only to accountable personnel.
- Introduced transparent shift-based order records.
- Updated SOPs for handling and collaborated with supplier to upgrade skids, reducing breakage.

Result

- Reduced reorder costs from **\$1.2M (2023)** to **\$200k (2024)**, delivering nearly **\$1M annual savings**.
- Established accountability across shifts, eliminating duplicate orders.
- Enhanced handling processes lowered breakage and strengthened supplier collaboration.